

Beem Politically Exposed Person (PEP) and Head of International Organization (HIO) AML Admin

GUIDELINES

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BEEM
CREDIT UNION

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1 Purpose

This document provides guidance on Politically Exposed Person (PEP) or a Head of International Organization (HIO) determinations and the related risk assessment and recordkeeping requirements.

This document applies to AML Compliance Team.

2 Overview

PEPs and HIOs are Individuals in a prominent position of power which presents the opportunity to influence policy decisions, institutions, and procedures in the allocation of resources or finances, which leave them vulnerable to potential corruption.

PEPs and HIOs, their family members, and close associates, are potential targets of criminal exploitation in carrying out Money Laundering and/or Terrorist Activity Financing activities. When the Credit Union has identified an individual who is a PEP/HIO, the AML Compliance Team must take measures to conduct a Risk Assessment and, if applicable, apply enhanced due diligence measures.

3 Notification of New PEP/HIO

The AML Compliance Team can receive notification of a new PEP/HIO a number of different ways including:

- Email from a staff member notifying of an identified PEP/HIO

- On-Demand alert in Navaera

- CRM Ticket notification

- PEPs identified through online onboarding

- PEP Report from Navaera Emerge Domain**

- Detection of fact (election websites, etc.)

- Municipal and Regional Districts <https://www.civicinfo.bc.ca/municipalities>
 - Provincial MLA <https://www.leg.bc.ca/Pages/BCLASS-Search-Community.aspx?PlaceFirstLetter=A&>
 - Federal Ministers: <https://openparliament.ca/politicians/>

3.1 On-Demand Alerts in Navaera

The Credit Union utilizes Navaera's watch list scanning services through Fluorescent to generate alerts for potential PEP and HIOs.

Alerts are reviewed by the AML Team to determine whether a positive PEP/HIO match is identified by following the [Navaera Watch List Scanning and On-Demand Alert Guidelines and Procedures](#).

4 Risk Assessment

A Risk Assessment will be completed by the AML Specialists and determines whether the Individual poses a high-risk of being involved in potential bribery, corruption, or a Money Laundering or Terrorist Activity Financing offence.

The AML Compliance Team is responsible for:

Completing a risk assessment within 30 days for all account holders who are determined to be a PEP/HIO

- To ensure there is a smooth member onboarding journey the AML Compliance Team will strive to complete a risk assessment completed as soon as reasonably practicable on new memberships, ensuring it is completed no later than 30 days from notification.

Recording the risk rating determination from their review within the member's record in Navaera's Sunflower platform.

Putting in place any required enhanced due diligence measures

4.1.1 Domestic PEP/HIO Risk Assessment

An Individual determined to be a Domestic PEP is considered low risk upon initial determination, unless they present information during membership opening, account opening or a transaction that determines them to be high-risk.

A risk assessment must be completed, and any enhanced mitigation steps for a Domestic PEP must continue until the Individual ceases to be a Domestic PEP.

Risk Assessment is required:

Within 30 days of an Individual determined to be a Domestic PEP

Within 30 days of receiving any Unusual Activity Reporting indicating potential Money Laundering or Terrorist Activity Financing red flag

Within 120 days of ceasing to be a Domestic PEP

An updated risk assessment is required to be completed by the AML Compliance Team within 90 days of any Individual who ceases to be a Domestic PEP.

If there are any indicators of Unusual Activity that may provide Reasonable Grounds to investigate potential Money Laundering or Terrorist Activity Financing refer to the following:

[UAR and STR Reporting Guidelines and Procedures](#)

4.1.2 Foreign PEP Risk Assessment

An Individual determined to be a Foreign PEP is deemed to be high risk and requires:

CAMLO approval before new membership opening, or to determine if we will maintain the relationship

If the membership is to be opened or maintained:

The AML Compliance Team will apply enhanced monitoring and mitigation measures for risks within 15 days of membership opening

Mitigation measures to be put in place within five days of the above determination

The Risk Assessment and any enhanced mitigation steps for a Foreign PEP must continue until the Individual ceases to have a business relationship with the Credit Union.

5 Risk Assessment Process

The AML Compliance Team will conduct a risk assessment for all identified Domestic PEP/HIOs or close associates and family members of a Domestic PEP/HIO using the following process.

The Risk Assessment will be completed by using the [PEP Risk Assessment - TEMPLATE](#) that completes the following steps.

5.1 Review PEP/HIO Information

The AML Compliance Team will review the PEP/HIO details including:

- What PEP/HIO status was declared by the member
- Was a PEP Statement completed and signed by the member
- Does the member meet the definition of a PEP/HIO
 - What position of office was held
 - What is the relationship to the PEP/HIO
- Is the PEP still in office or have they left office

After reviewing this information and determining that the individual does meet the definition of a PEP/HIO, the AML Compliance Team will continue to conduct the Risk Assessment.

If the individual is identified to be a foreign PEP, family member of a foreign PEP or close associate of a foreign PEP, they will be automatically deemed as high-risk, and no further risk assessment is required. The AML Compliance Team will escalate the membership to the CAMLO for approval to maintain the relationship and determine whether any enhanced due diligence measure are required.

If the individual is identified to not meet the definition of a PEP/HIO no further risk assessment is required. The AML Compliance Team will update the PEP fields in the banking system and in Navaera's Sunflower platform and notify the branch of the determination.

5.2 Review KYM Information

A review of the individuals KYM information is to be conducted to ensure all required information is on file and up-to-date, including a third party determination.

If KYM information is identified to be missing or expired the AML Compliance Team will notify the branch to collect the required information.

Review the source of funds and source of wealth collected on the Politically Exposed Person Statement to ensure whether the information is reasonable and in line with what would be expected given current KYM Information on file.

5.3 Review Account Activity

If the PEP/HIO is a current member of the Credit Union, the AML Compliance Team will conduct a review of account activity.

The most recent 3 months of account activity is to be reviewed for any unusual activity or indicators of ML or TF.

If unusual activity or indicators of ML/TF are identified, the PEP/HIO will be deemed high-risk, and the membership will be reviewed by the AML Compliance Team to determine whether a STR is required. Refer to the [UAR and STR Reporting Guidelines and Procedures](#)

5.4 Conducting Open-source Searches

Open-source searches will be conducted to identify whether there is any negative media identified for the PEP/HIO.

Searches may include, but are not limited to:

- Google searches
- Canlli.org
- Court Services Online
- Canada411
- Country search (knowyourcountry.com)
- Municipal and Regional Districts <https://www.civicinfo.bc.ca/municipalities>
- Provincial MLA <https://www.leg.bc.ca/Pages/BCLASS-Search-Community.aspx?PlaceFirstLetter=A&>
- Federal Ministers: <https://openparliament.ca/politicians/>
- Other searches, as necessary

If negative media is uncovered for the PEP/HIO the AML Compliance Team will take into consideration the severity of the negative media with the other factors of the review and may escalate the individual's risk-score.

If negative media is identified indicating the PEP/HIO has been involved in bribery and/or corruption the AML Compliance Department will automatically risk rate the individual as high-risk.

5.5 Complete the PEP Risk Assessment Tool

After the AML Compliance Team has conducted the above reviews (5.1 - 5.4) the information collected will be entered into the PEP Risk Assessment Tool to determine the members risk score.

For each section of the tool a point will be applied to the risk rating index.

The Credit Union has established the following:

0 – 3 = Low Risk 4+ = High Risk

There are options available within the tool, if selected, will automatically increase the members risk score to high-risk regardless of the other options selected.

6 PEP/HIO Enhanced Due Diligence Measures

Depending on the PEP/HIOs risk score the AML Compliance Team may apply enhanced due diligence measures.

6.1 High Risk PEP/HIO

A PEP/HIO may be determined to be high risk based on a number of factors including, but not limited to:

The organization they work for

Unusual behavior

- Attempting to shield the fact they are a PEP/HIO
- Refusal to complete a PEP/HIO determination

Detecting a Fact

- Negative media linked to potential corruption/bribery
- Open source searches that show the member provided false or misleading information

Sending or receiving Wire Transfers from high risk countries

Large Cash Transactions

Unusual Activity

6.1.1 CAMLO or CAMLO Designate Approval

If a membership for a PEP/HIO has been determined to be high-risk after a risk assessment has been completed, the membership must be escalated to the CAMLO or CAMLO designate for review and approval to maintain the membership.

If the CAMLO or CAMLO Designate provides approval, they must document their approval on the PEP Risk Assessment document, as well as an electronic signature or approval.

If the CAMLO or CAMLO Designate does not approve to maintain the relationship, the AML Compliance Team will proceed with the Withdrawal of Services Guidelines and Procedures

6.1.2 Enhanced Due Diligence Measures

If the CAMLO or CAMLO Designate has provided approval to maintain the relationship, the AML Compliance Team will ensure that appropriate Enhanced Due Diligence Measures are implemented.

Enhanced Due Diligence Measures can include:

- Ongoing monitoring of membership and account activity
- Determine whether service restrictions should be placed on the membership
 - Ex. Source of funds to be collected on all deposits

The measures placed on the membership will be determined by the AML Compliance Team and will be aligned with the risk's identified in the PEP/HIO risk assessment.

In addition to the above the AML Compliance Team must place the following restriction on the individual's membership:

- *Due to the member's PEP status, all international wire transfers over \$100,000 require confirmation of source of funds, and verification of member's source of wealth as well as approval to proceed from the Regional Growth Manager.*

The AML Compliance Team will also ensure that the PEP/HIO fields are updated, and applicable notes are recorded within Sunflower. Refer to the [Update Sunflower PEP/HIO Fields](#) section for details on this process.

6.2 Low Risk PEP/HIO

When an individual is identified to be a low-risk PEP/HIO, no additional Enhanced Due Diligence Measures are required. The membership will be reviewed on an ongoing basis as required. The AML Compliance Team will reassess the PEP/HIO risk assessment as required, or if other triggering events are identified, such as:

- An Unusual Activity Report is received
- The AML monitoring provider alerts for potential suspicious activity
- There is a change to the PEP/HIO status
- Negative media is identified

The AML Compliance Team will ensure that the PEP/HIO fields in the banking system and Sunflower are updated, along with applicable notes recorded within Sunflower. Refer to the [Update Sunflower PEP/HIO Fields](#) section for details on this process.

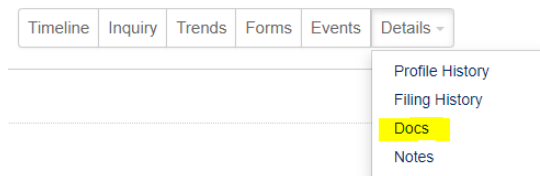
7 Update Sunflower PEP/HIO Fields

To ensure that appropriate records and information are recorded, the AML Compliance Team will ensure that the risk assessment and PEP/HIO fields are updated and recorded within Navaera's Sunflower program.

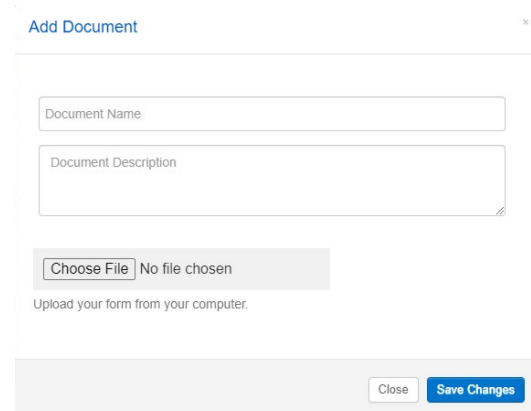
7.1 Upload Documents to Member File

The completed PEP Risk Assessment document is to be uploaded to the member's profile within Sunflower.

1. Search the Sunflower domain by the individual's PERS number
2. Open the member's profile in Sunflower
3. Navigate to the Documents section



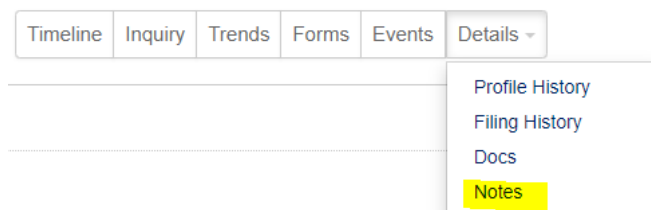
- a.
4. Click **Add Document**
 - a. Enter Document Name:
 - i. *PEP/HIO Risk Assessment*
 - b. Enter Document Description
 - i. *DD/MM/YYYY – Completed PEP Risk Assessment*
 - c. Chose file to upload
 - d. Click **Save Changes**



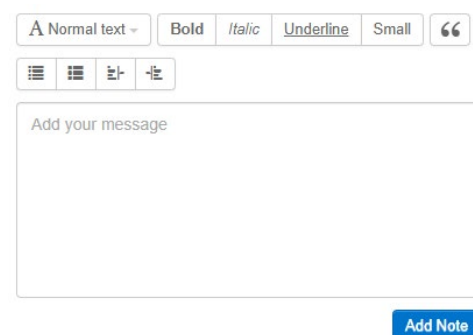
7.2 Add Notes Pertaining to PEP/HIO Risk Assessment

The AML Compliance Team will ensure that appropriate Notes are added to the member file in Sunflower outlining the PEP/HIO Risk Assessment completed, the determined risk score, and any enhanced due diligence measures applied.

1. Search the Sunflower domain by the individual's PERS number
2. Open the member's profile in Sunflower
3. Navigate to the Notes section



- a.
4. In the Notes section add all applicable notes pertaining to the PEP/HIO Risk Assessment, the determined risk score, and any enhanced due diligence measures applied.



- a.
5. Click **Add Note**

7.3 Update PEP/HIO Fields

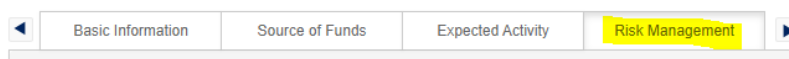
The AML Compliance Team must ensure that all applicable PEP/HIO fields are updated within the member's profile in Sunflower as well as the banking system.

7.3.1 Sunflower Fields

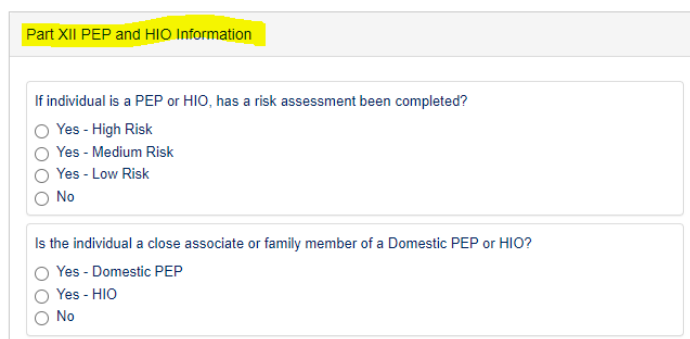
1. Search the Sunflower domain by the individual's PERS number
2. Open the member's profile in Sunflower
3. Navigate to the Risk View section



- a.
4. Navigate to the Risk Management tab



- a.
5. Complete all PEP and HIO fields in **Part XII**



Part XII PEP and HIO Information

If individual is a PEP or HIO, has a risk assessment been completed?

☐ Yes - High Risk
☐ Yes - Medium Risk
☐ Yes - Low Risk
☐ No

Is the individual a close associate or family member of a Domestic PEP or HIO?

☐ Yes - Domestic PEP
☐ Yes - HIO
☐ No

7.3.2 Banking System Fields

7.3.2.1 Gulf and Fraser

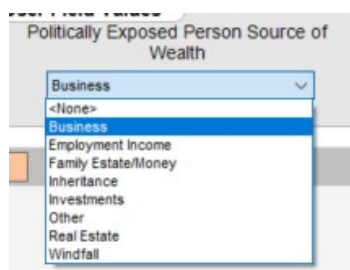
1. From the member's relationship profile in DNA, navigate to Contact Management → Person → Person Fields
2. Within the user field screen review the following fields:
 - a. 8APP – Politically Exposed Person
 - i. Should be completed with the appropriate drop-down option:



1.

b. 8APW – Politically Exposed Person Source of Wealth

- i. Should be completed with the appropriate drop-down option:



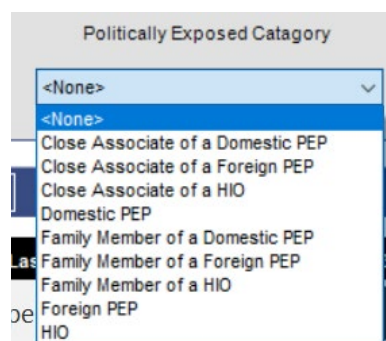
1.

c. 8AWO – OEO Source of Wealth Other

- i. If other was selected in field 8APW then a descriptive text must be included in this field of the PEPs source of wealth

7.3.2.2 ISCU

1. From the member's relationship profile in DNA, navigate to Contact Management → Person → Person Fields
2. Within the user field screen review the following fields:
 - a. 8ADT – PEP Confirmation Date
 - i. Enter the date the PEP was identified
 - b. 8AIO – PEP Institution/Organization
 - i. Leave blank as this is not applicable
 - c. 8AOP – PEP Office/Position
 - i. Enter the position in office of the PEP
 - d. 8APC – Politically Exposed Category
 - i. Select appropriate response from drop down



ii.

e. 8APN – PEP Name

- i. Enter name of PEP

f. 8APW – Politically Exposed Person Source of Wealth

- i. Select the appropriate response from the drop down – note* do not select do not use field

Politically Exposed Person Source of Wealth

- <None>
- <None>
- Business
- Family Money
- Inheritance
- No Determined Wealth
- Real Estate
- Windfall
- Z-Do Not Use
- Z-Do Not Use
- Z-Do Not Use

ii.

g. 8ARL – PEP Relationship

- i. Select appropriate response from the drop down

PEP Relationship

- <None>
- <None>
- Business Partner
- Child / Step Child
- Friend
- Member of same Board/Political Party
- Parent / Parent in-Law
- Romantic Relationship
- Self
- Sibling / Step Sibling
- Spouse / Common Law Partner

ii.

h. 8PEP - PEP Politically exposed person

- i. Select yes or no whether the member is a PEP

PEP Politically Exposed Person

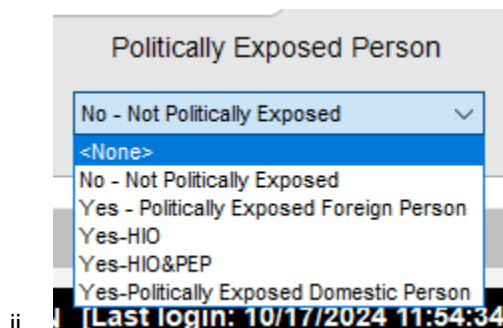
- No
- <None>
- No
- Yes

ii.

7.3.2.3 NPS

1. From the member's relationship profile in DNA, navigate to Contact Management → Person → Person Fields
2. Within the user field screen review the following fields:

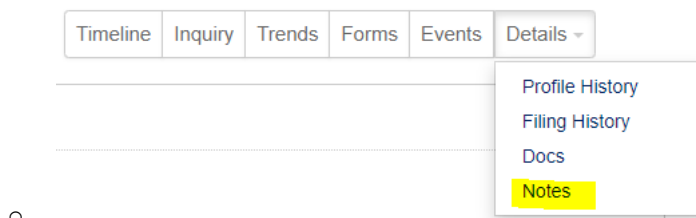
- a. 8APE – Politically Exposed Domestic or Head of International Expiry
 - i. Enter the date the PEP's status will expire, if applicable
- b. 8APP – Politically Exposed Person
 - i. Select appropriate response from drop down



8 Collabria PEP/HIO Reviews

The AML Compliance Department may receive email notifications from Collabria AML-WLF regarding a potential PEP/HIO. The email address for Collabria, noreply@salesforce.com, does not receive outgoing emails from the AML Compliance Team so a response is not provided to Collabria at this time. However, a cursory review will still be conducted to determine whether there is a true PEP/HIO match. When a notification is received from Collabria the following process is to be completed:

1. Review the banking system to identify the membership in question.
2. Review PEP/HIO person fields to determine whether a determination has been made by the member.
3. [Conduct open-source searches](#) to determine whether there is a potential match
4. After review has been completed:
 - a. If there is a **positive** PEP/HIO match proceed to complete a [PEP Risk assessment](#) as outlined in the above procedures
 - b. If there is a **negative** PEP/HIO match complete the following steps
 - i. Archive the email from Collabria in the AML Compliance email box
 - ii. Add a note to the members profile in Sunflower
 - Search the Sunflower domain by the individual's PERS number
 - Open the member's profile in Sunflower
 - Navigate to the Notes section



- In the Notes section add a note that a cursory PEP/HIO review was conducted, and no match was identified. Example:
 - *PEP/HIO Review conducted due to triggering event, Collabria PEP email request – no match to open source searches, members address on file does not match potential PEP, no match to DOB, PEP determination on file indicates member is not a PEP/HIO. At this time there is no indication that this member is a PEP/HIO*
 - Click **Add Note**
- c. If you are unable to make a PEP/HIO determination with the information available and no PEP statement is on file for the member, the AML Compliance Team must request the branch team to reach out to the member and update PEP information and provide information back to the AML Compliance Team.